

Why is Luxembourg a FinTech Hub?



Luxembourg specialises in cross-border fund administration. Over 38% of all cross-border collateral has been pledged to the Eurosystem via Clearstream Banking, Banque Centrale du Luxembourg and Globe Settle.

The Association of the Luxembourg Fund Industry (ALFI), founded in 1988, today represents over 1,300 Luxembourg-domiciled investment funds. The Luxembourg fund industry is the largest fund domicile in Europe, distributing across more than 70 countries with particular focus on Europe, Asia, Latin America and the Middle East.

What is a CSD?

A Central Securities Depository (CSD) is an entity providing a central point for depositing financial instruments. In 2010, Luxembourg's central bank and Clearstream launched LuxCSD — a new CSD service enabling settlement in central bank money and reducing risk for financial market participants.

Where will the European financial hub be?

With Brexit reshuffling financial geography, the leading relocation destinations are Frankfurt, Paris, Dublin and Luxembourg — which already hosts 60,000 financial jobs. Tokio Marine recently became the ninth insurer to choose the Grand Duchy. Luxembourg may not become the financial centre of the world, but its role in the European ecosystem looks increasingly secure.